

EQUITY RESEARCH · COMPANY DEEP DIVE

# Advanced Micro Devices, Inc. (AMD.US)

Technology · Semiconductors

Large Cap (>\$200B) · Report Date: August 31, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-08-31

UNDERWEIGHT

Composite · Valuation: SELL

Target \$400.90 · -14.5% upside

Price \$468.76

## INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$400.90 (-14.5% vs \$468.76); Comps 100% valuation after outlier checks.
- Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

## MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                   | Wt  |
|--------------|-----------------|------------------------------|-----|
| Valuation    | SELL            | Blended PT \$400.90          | 45% |
| FSA          | Strong          | Health +0.35 · Strong        | 20% |
| Technical    | BULLISH         | Bullish                      | 20% |
| Quantitative | POSITIVE        | Score +0.50 · 12m +188%      | 15% |
| Composite    | UNDERWEIGHT     | Score -0.05 · 75% confluence | —   |

Valuation anchor: -14% upside vs target; valuation rich but trend improving — wait for confirmation; solid financial statement profile.

## INVESTMENT THESIS / EXECUTIVE SUMMARY

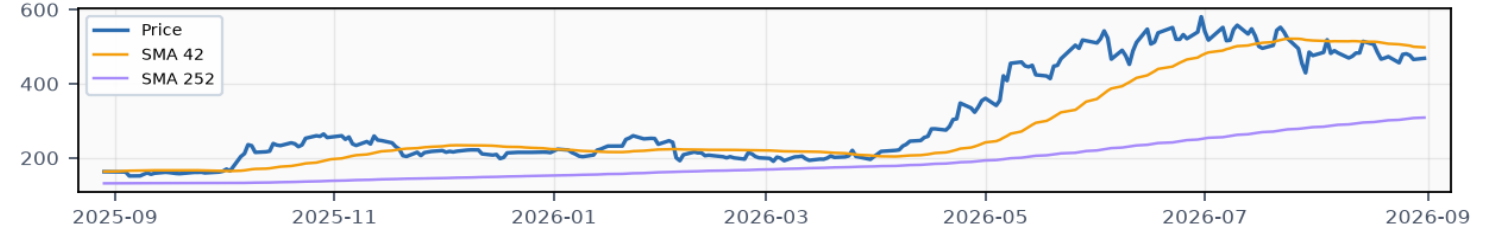
Advanced Micro Devices, Inc. (AMD) — Technology. Advanced Micro Devices, Inc. operates as a semiconductor company internationally. It operates in three segments: Data Center, Client and Gaming, and... **SELL** rating; blended target \$400.90. See Investment Highlights above and valuation cross-check on page 2.

## KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value      |
|---------------|---------------------|--------------|------------|
| Market Cap    | \$765.24B           | Shares Out.  | 1632.5M    |
| 52-Week Range | \$149.22 – \$584.73 | P/E (TTM)    | 119.9x     |
| P/B           | 11.4x               | Beta         | 2.49       |
| Avg Volume    | 27.55M              | Analyst Rec. | Strong Buy |
| Revenue (TTM) | \$41.31B            | Rev Growth   | +50.1%     |
| Op. Margin    | 17.2%               | FCF (TTM)    | \$6.74B    |
| Gross Margin  | 55.7%               | ROE          | 10.2%      |
| EV/EBITDA     | 78.6x               | Debt/Equity  | 6.4%       |
| EPS (TTM)     | \$3.91              | Div Yield    | N/A        |

## PRICE TREND · SMA 42 / 252

AMD · Price & SMA



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FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric             | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|--------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)      | 25,785   | 34,639   | 51,993   | 70,617   | 88,853   |
| Revenue Growth (%) | N/A      | 34.3%    | 50.1%    | 35.8%    | 25.8%    |
| Net Income (\$M)   | 1,641    | 4,335    | 6,507    | 8,838    | 11,120   |
| Gross Margin (%)   | 49.4%    | 49.5%    | 55.7%    | 55.7%    | 55.7%    |
| Net Margin (%)     | 6.4%     | 12.5%    | 12.5%    | 12.5%    | 12.5%    |
| EPS (\$)           | 1.01     | 2.66     | 3.99     | 5.41     | 6.81     |
| P/E (x)            | 466.32   | 176.53   | 117.61   | 86.59    | 68.82    |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                              | Metric               | Value   | Notes      |
|--------------------|----------|--------------------------------------------------------------------|----------------------|---------|------------|
| SMA (42d)          | \$498.30 | Short-term trend                                                   | 12m Momentum         | +188.2% |            |
| SMA (252d)         | \$308.69 | Long-term trend                                                    | 3m Momentum          | -10.1%  |            |
| RSI (14d)          | 48.2     | Momentum oscillator                                                | Ann. Volatility      | 57.1%   |            |
| Trend              | Bullish  |                                                                    | Sharpe Ratio         | 0.52    | Rf=4%      |
| Golden Cross (20d) | No       |                                                                    | Max Drawdown         | -65.4%  |            |
| Death Cross (20d)  | No       |                                                                    | Rel. Strength vs SPY | +241.6% |            |
| TA Signal          | BULLISH  | Price above SMA42; SMA42 > SMA252; SMA42=\$498.30, SMA252=\$308.69 | Quant Score          | +0.50   | POSITIVE   |
|                    |          |                                                                    | SMA Backtest (ann.)  | 37.5%   | B&H; 52.7% |

VALUATION CROSS-CHECK

| Valuation Method  | Implied Price | vs. Current | Weight in     | Notes                                                  |
|-------------------|---------------|-------------|---------------|--------------------------------------------------------|
| DCF (FCFE)        | \$56.07       | -88.0%      | 0% (excluded) | DCF implied price < 35% of market (capex-heavy or d... |
| Comps — Blended   | \$400.90      | -14.5%      | 100%          | Included in blend                                      |
| Analyst consensus | \$613.84      | +31.0%      | 0% (excluded) | Analyst consensus lags / diverges >35% from comps      |
| Blended target    | \$400.90      | -14.5%      | 100%          | Comps 100%                                             |

DCF (FCFE) SUMMARY

| Ke     | Terminal g | FCFE growth | Equity value | Implied price | vs. Current |
|--------|------------|-------------|--------------|---------------|-------------|
| 17.69% | 4.00%      | 17.53%      | \$91.53B     | \$56.07       | -88.0%      |

PEER COMPARISON · INDUSTRY CONTEXT

| Ticker | Company                | Market Cap | P/E    | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|--------|-----------|------------|------------|
| INTC   | Intel Corporation      | \$473.72B  | N/A    | 29.0x     | -19.8%     | +25.4%     |
| QCOM   | QUALCOMM Incorporated  | \$181.86B  | 19.5x  | 15.0x     | 21.0%      | -4.0%      |
| AVGO   | Broadcom Inc.          | \$1.76T    | 61.5x  | 42.8x     | 38.8%      | +47.9%     |
| TXN    | Texas Instruments Inco | \$238.12B  | 39.7x  | 25.6x     | 31.1%      | +22.8%     |
| AMD*   | Advanced Micro Devices | \$765.24B  | 119.9x | 78.6x     | 15.6%      | +50.1%     |

\* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Strong top-line growth (50.1% YoY); Healthy operating margins (17.2%); Above-market volatility (β=2.49) · Risks: Premium valuation (P/E: 119.9x); High market sensitivity in downturns Strong revenue growth; healthy margins; conservative balance sheet; positive fcf generation. Source: Yahoo Finance. Not investment advice.